Faropoint

FRG X Logistic Fund II

Q3 2021 Update

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Executive Summary

Commitments

Within 7 months from initial closing, FRG-X has raised ~$450M in commitments and exceeded its $250M initial Fund target. We believe we will reach the $500M hard cap by year-end.

Acquisitions

We are exceeding our acquisition timeline as the Fund is expected to purchase 50% of its final target by year-end at an average cap rate of 6%.
Market composition represents strong exposure in primary markets (Philadelphia, Atlanta, Chicago and Dallas).

Finance

We are constantly working on optimizing the financial instruments that are supporting the fund.
We have established a Capital Call line of ~100M$ at a rate of 2.1% over Libor and a credit facility with a max capacity of $550M at 2.45% interest rate over Libor.
We recently managed to improve the Fund terms by eliminating the floor component (25 basis points).

Summary

Assuming current acquisition pace continues, we believe we will conclude the deployment period by Q4 2022.

Industrial Market Highlights

Warehouse space is among the most sought-after property type in industrial. With a boom in e-commerce and the need for short term space due to COVID-19, demand is huge for 5,000-50,000 square feet.

YOY Rent Growth

8.3%
Q3

7-10%
2022 Forecast

Net Absorption (SF)

140.7M
Q3

11.4%
Increase from Last Quarter

365.9M
YTD

98%
Increase from Last Year

Market Occupancy

96%
Q3

0.7%
Increase from Last Quarter

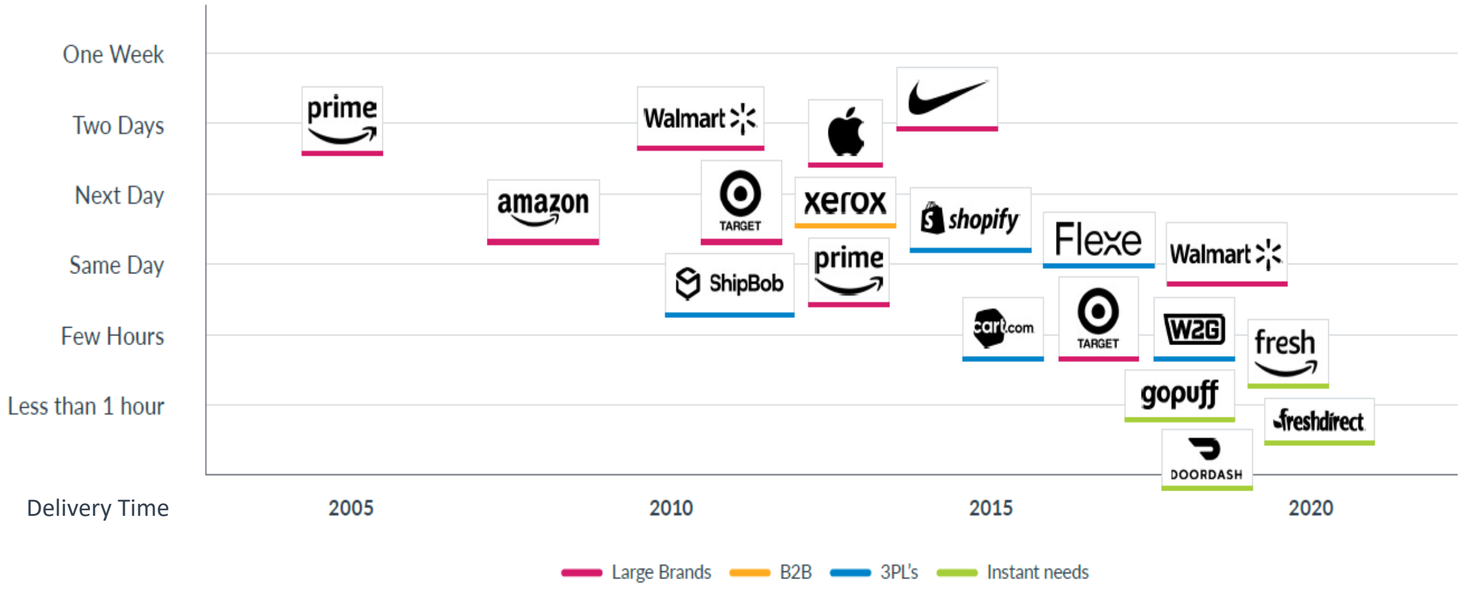
2021 marks the most absorbed space ever recorded in a single year

Sources: Cushman & Wakefield Q3 2021 Market Overview, Colliers Industrial Q3 Market Trends, The Business Journals – Q3 2021

Brands and Retailers getting closer to consumers

Companies focused on the distribution of consumable products and home improvement are emerging in the market, increasing high demand for last-mile space.

The Race to the Bottom



gopuff Case study

Gopuff, the startup that's helped kickstart a new category of "instant" food delivery in the U.S. Delivers everything you need — food, home essentials, snack and alcohol delivery in select markets

Sites

450

Across North America & UK

Micro-fulfillment

285+

localized micro-fulfillment centers, ghost kitchens

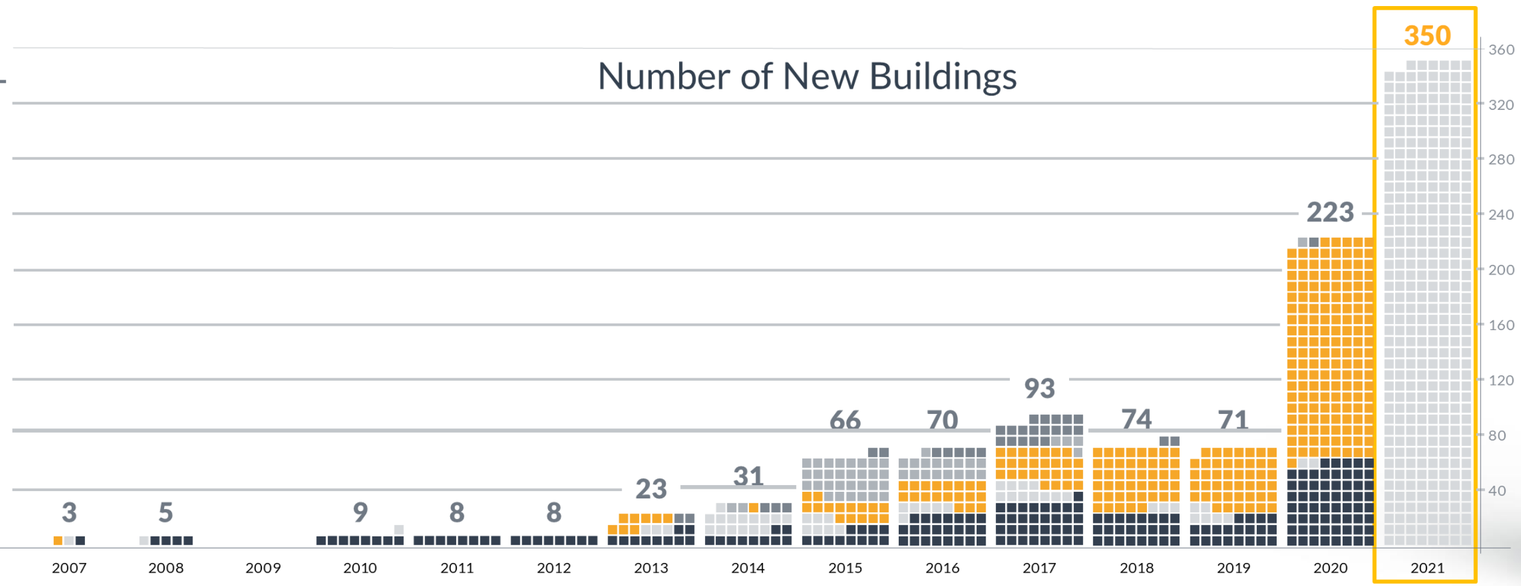
Gopuff, as many other direct to consumer companies, are pushing demand for urban warehouses in order to support market needs

Tech Crunch Article

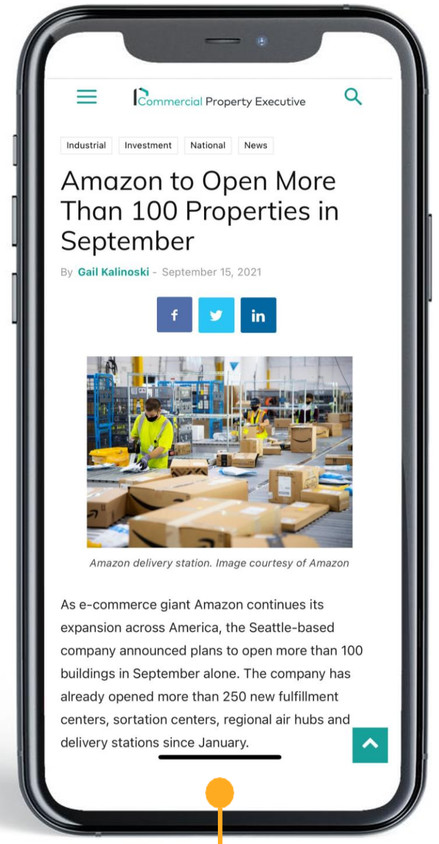
Amazon’s Unprecedented Growth

Amazon is currently using over 300m SQFT of industrial warehouses.

Out of that, more than 95% is leased and 5% is owned.



Year	2005	2006	2007	2008	2009	2010	2011	2012	2013	2014	2015	2016	2017	2018	2019	2020	2021
Last-Mile Delivery Stations	–	–	1	–	–	–	–	–	8	1	15	19	27	45	45	158	
Fulfillment Centers	4	1	1	4	–	8	8		10	10	12	23	33	24	20	61	
Regional Sorting Centers	–	–	1	1	–		8 –	–	3	15	7	6	11	3	6	2	
Prime Now Hubs	–	–	–	–	–	1 –	–	–	–	2	30	17	4	–	–	1	
Food Distribution Centers	–	–	–	–	–	–	–	–	2	3	2	5	18	2	–	1	
Total New Buildings	4	1	3	5	–	9	8	8	23	31	66	70	93	74	71	223	350

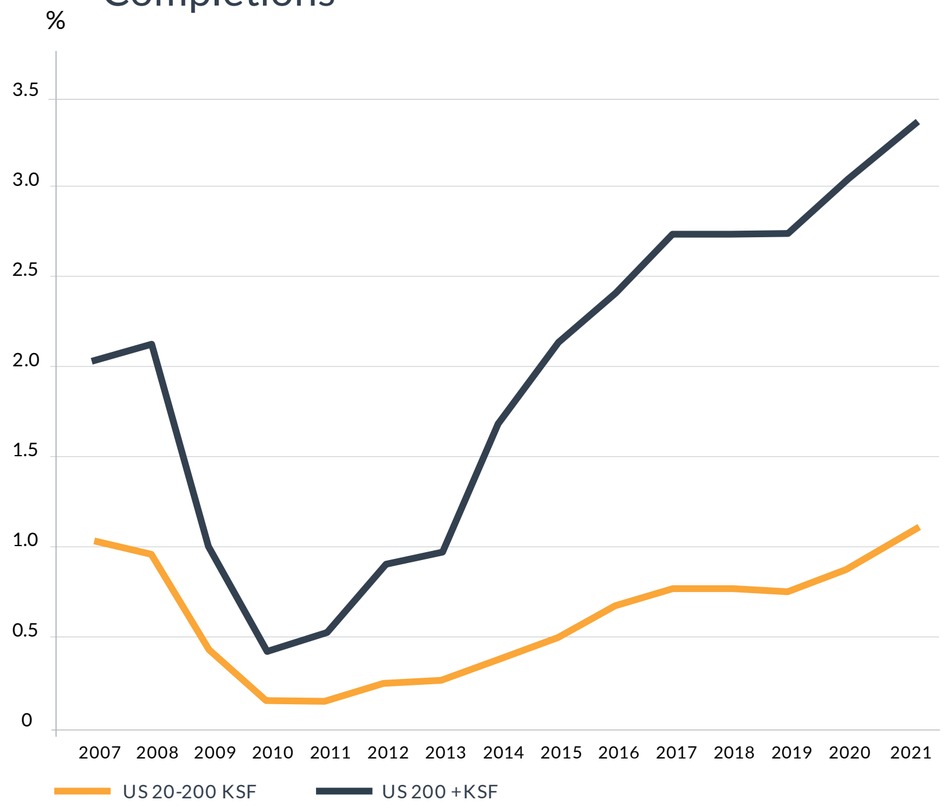


Read More

Sources: *CBRE US Logistic capital markets webinar, August 2020, AP news, September 14, 2021*

UDC Supply Fundamentals

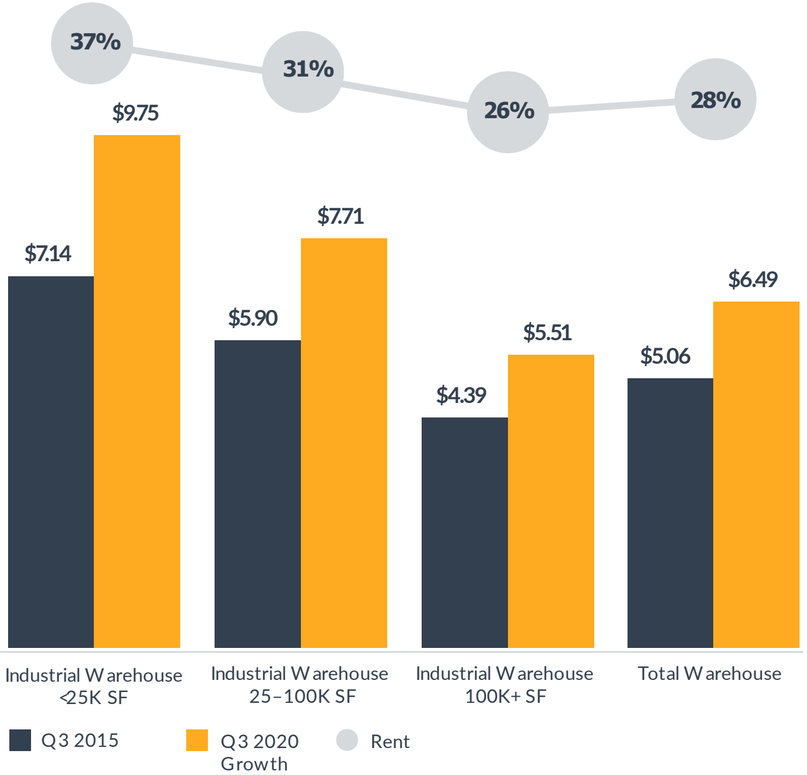
Completions



Sources: Costar, August 2021
CBRE Econometric Advisors, CBRE Research, 2020)

Light Industrial vs. Big Box (2015 vs. 2020)

Warehouses Avg. Asking Net Rent by Size Segment



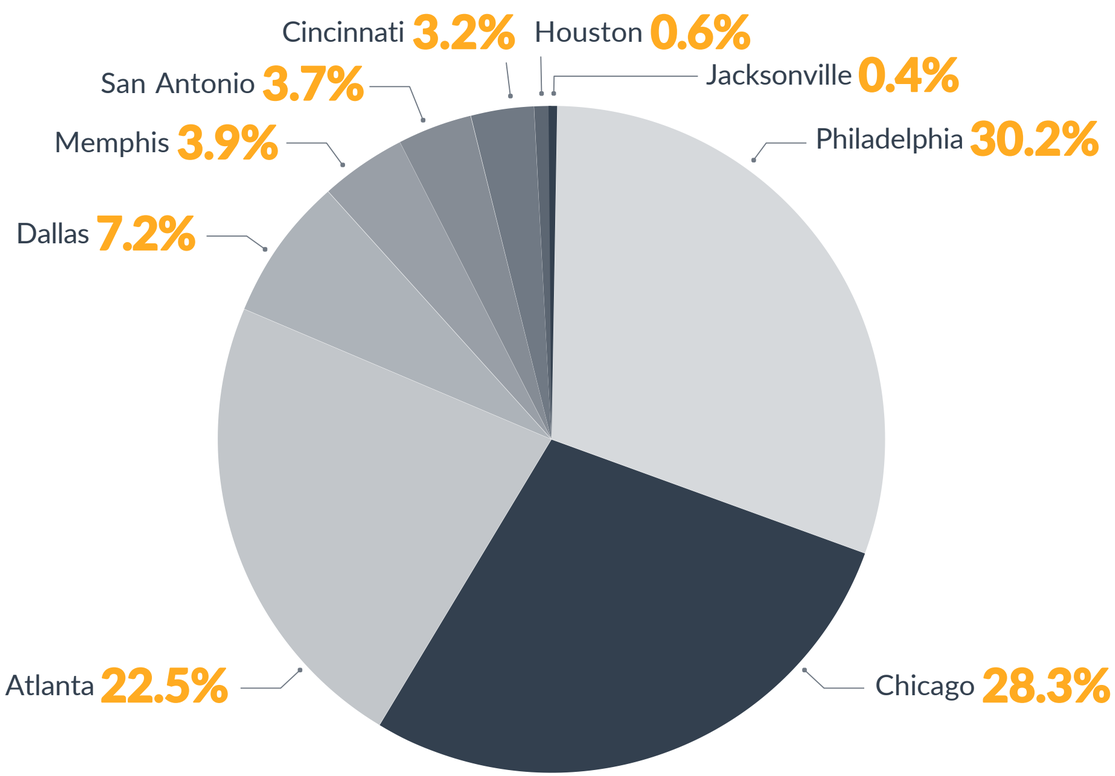
Urban Distribution Centers (UDC), aimed mostly for last-mile, show low vacancy rate & strong rent growth

The smaller the warehouse – the higher the rent growth

Despite the strong fundamentals, UDC deliveries are falling short of demand while deliveries of bulk distribution is growing at an elevated pace

FRG X Aggregated Portfolio – as of October 13th

% Equity Allocation per Metro Area

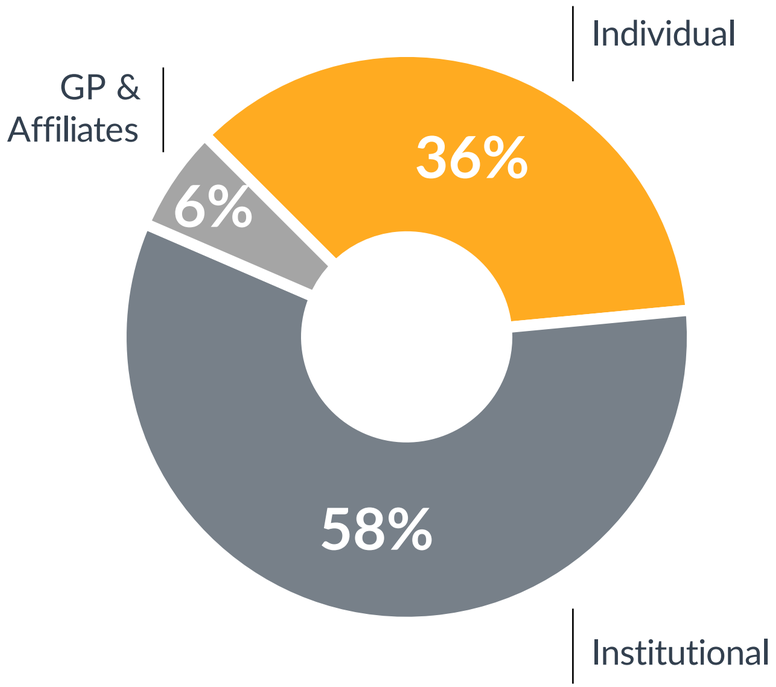


Performance Metrics	Current Portfolio as of October 13th
Total Project Size (SF)	6.9M
Total Purchase Price ($)	~510M
Number of Buildings / Tenants	115 / 162
Average Building Size (SF)	~59.1K
Average Price per SF	$73.8
CAP Rate	~6%
In Place Occupancy	~94%
W. Average Lease Term	4.75 Years

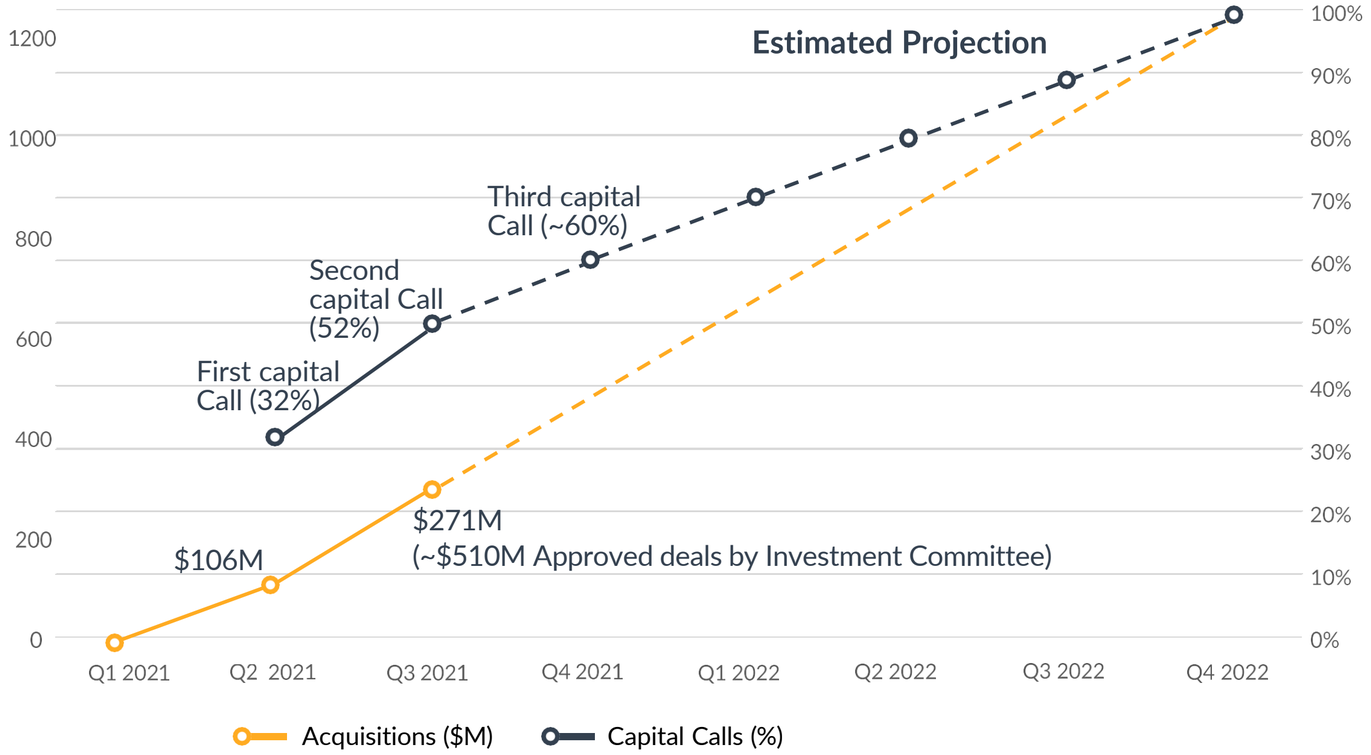
Underwriting summary of closed & approved deals by Logistic Fund II investment committee – data may vary

Acquisition and Capital Call Timeline

Capital Call Composition



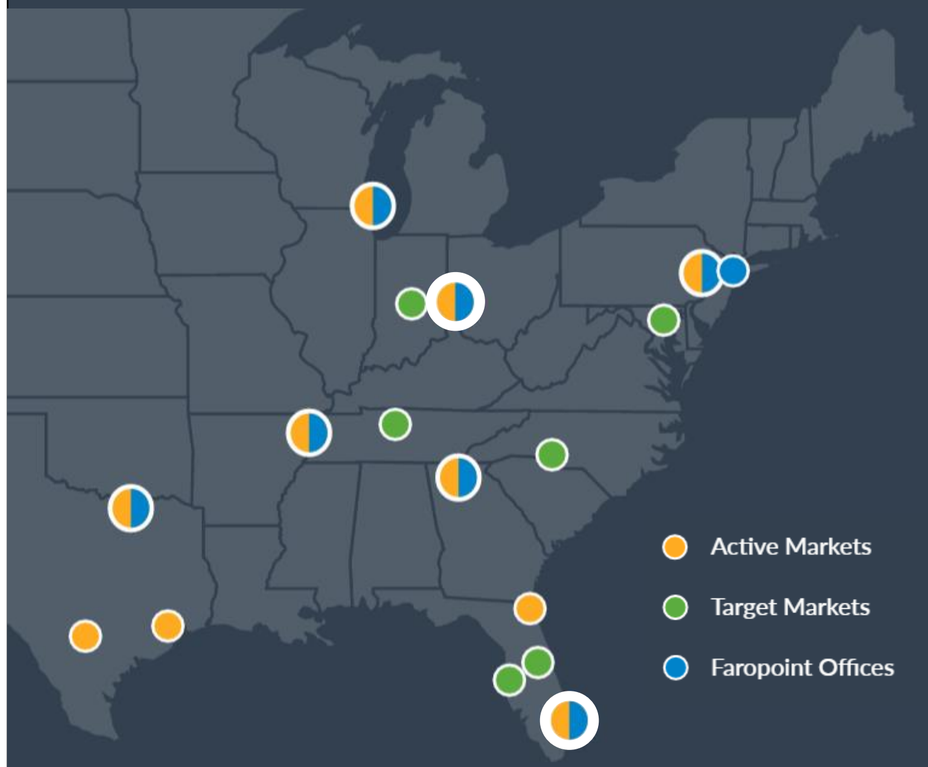
Capital Call Date	Amount ($M)	Accumulated Amount out of Commitments (%)	Total committed Amount ($M)
July 20th, 2021	95	32	297
October 20th, 2021	95	52	366
*January 2022	~110	~60	~500



Estimated Call for January 2022

The limited partnership agreement of the Partnership the ("LPA") was amended by the General Partner on October 3rd, 2021, following receipt of the consent of a majority in interest of the limited partners in accordance with Section 11.1 of the LPA dated as of April 8th, 2021. Pursuant to the amendment, the cap on the aggregate Capital Commitments and Feeder Capital Commitments was raised from US$420 million to US$500 million.

Infrastructure Expansion

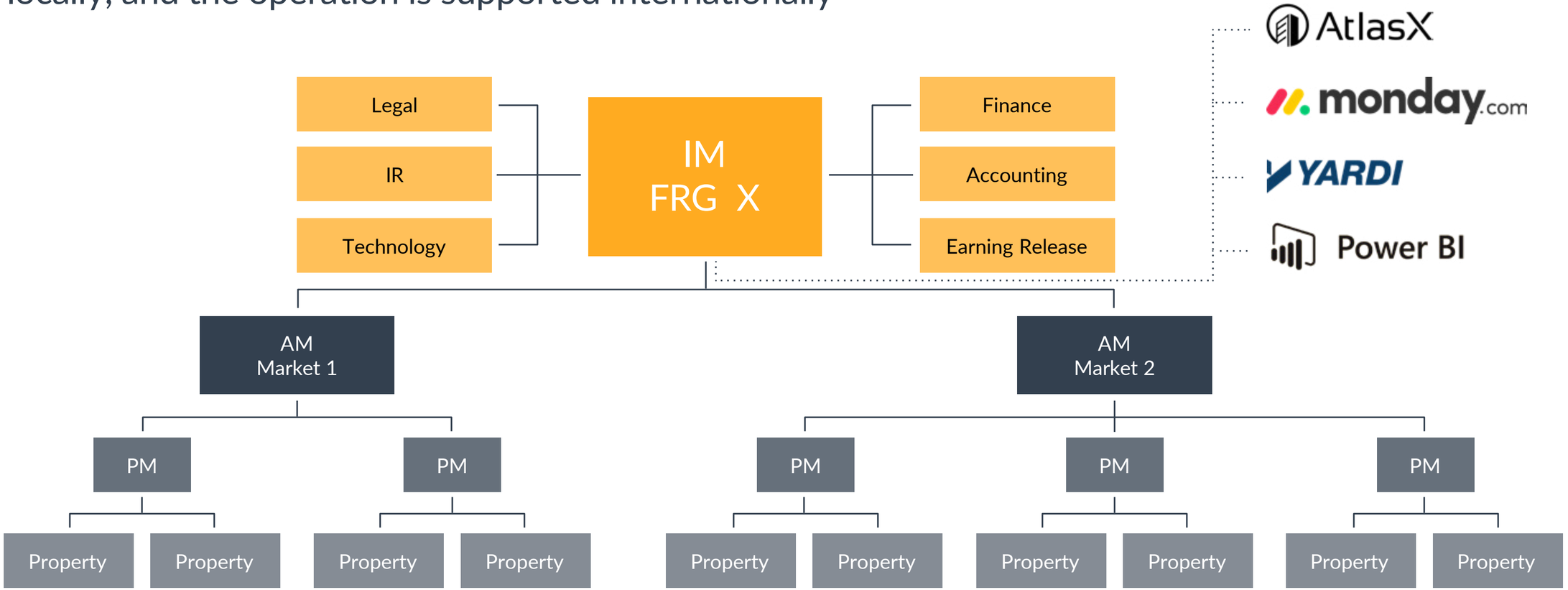


During the past 18 months, Faropoint platform has doubled in investment professionals and expanded into a total of 7 offices across the U.S.

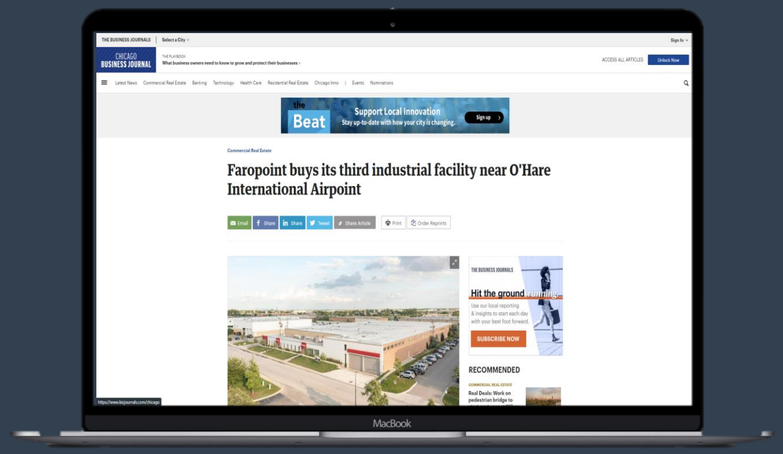
Our pipeline has grown tremendously and we're currently evaluating $3.6B of deals.
Our conversion rate is roughly 6% and represents the intense due diligence and adherence to Fund guidelines to maximize investors risk adjusted returns.

Vertically Integrated Operation

FRG X is governed in a centralized manner where assets are managed locally, and the operation is supported internationally

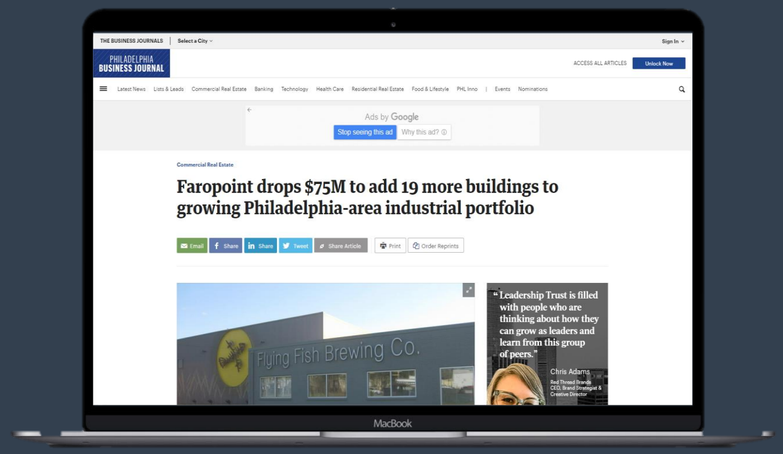


From the News – FRG X Acquisitions



Faropoint buys its third industrial facility near O'Hare International Airport in Chicago

Read the full article



Faropoint has spent nearly $130M buying 1.53 million sq ft since entering the Philadelphia market in September 2020

Read the full article

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THANK YOU

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